

we can learn something by looking back at the economic evolution of the great American middle class — the new international middle class will upgrade their food consumption habits; if it is made available, they will buy telephone service; they will spend money on entertainment, and they will travel.

Investors of our persuasion — stockpickers, if you will — can't talk about investment trends without naming some names. Unlike the Roundtable, where we are constantly prodded both by *Barron's* and our colleagues to fill in the fundamental blanks on individual stock selections, I won't be providing hard data on the companies I mention in this article. Nor will I make predictions about short-term earnings and cash flow. That said, consistent with our Graham-and-Dodd-oriented value philosophy, we would like to own the businesses named here for the long term.

IT'S NOT CHICKENFEED

Let's start in, of all places, Iowa. The American grains farmer is the most productive in the world. Iowa is agriculturally state-of-the-art. Let me give you a hypothetical example. There are seven ounces of grain needed to produce one ounce of meat at market. If chicken or pork consumption in China were to increase by one ounce per capita, and Iowa were to produce all the grain used to fatten these Chinese chickens and hogs, on a gross national product basis, Iowa would be among the richest countries in the world. This may be perceived as a silly example. But its purpose is to call attention to the tremendous upside potential for American grain farmers and vendors to those farmers. Agricultural equipment manufacturers like John Deere, companies that move grains in shipping centers, like Archer-Daniels-Midland, and irrigation-equipment makers like Lindsay Manufacturing should all be long-term beneficiaries of the increased role the American farmer will play in feeding the world.